



INCOME

July 2026 Report

In June 2026, the U.S. and Iran reached a deal that reopened the Strait of Hormuz - a narrow strip of water that roughly 20% of the world's energy passes through.

Brent crude (the world's main oil price) dropped under \$80 a barrel for the first time in over three months - and it has stayed there as of this report's publish date, even as tensions around the Strait flare back up.

- Goldman Sachs and Morgan Stanley also both cut their oil forecasts.

**Why should you care?** When oil swings, the market tends to trade everything with "energy" in the name as one block - and in June, gas pipeline stocks briefly dipped right alongside oil, even though their business didn't change.

But pipeline companies are fundamentally a different business than a traditional oil company. These companies get paid to move gas, regardless of what oil prices are.

Here's the thing: That oil ride was a supply story - the Hormuz shutdown spiked prices, and the deal brought them back down. Gas demand never moved. In fact, it's booming:

- Data centers are behind the AI boom - and many of them run on natural gas.
- The U.S. power grid is growing and uses gas to power it.
- Huge shipments of liquefied natural gas (LNG) - natural gas chilled into a liquid so it can travel by sea - are growing.

None of that demand moves with the price of a barrel.

This is where we've spotted a **Broad Market Shift**: While the crowd sells the barrel, it's mispricing the pipes.

Gas pipelines collect a set fee to move gas - no matter what that gas sells for - and those fees are locked in through contracts that often run for decades.

So when oil falls, an oil driller earns less. A pipeline just keeps collecting its tolls.

And more pipelines are being built right now, further cementing the rising demand.

The U.S. Energy Information Administration counts 44.9 Bcf/d of added pipeline set to begin flowing across 2026 and 2027, with about 70% of that already being built.

- Bcf/d just measures how much gas moves per day.

### Pipeline Buildout: 44.9 Bcf/d

New U.S. gas pipeline capacity set to start flowing  
across 2026-27

#### Already Under Construction

~31.4 Bcf/d (70%)

#### Still Planned

JLL estimates that data centers will occupy over 40,000 acres of land within the next 5 years as well.

Natural gas mostly powers them - so more data centers = more pipelines, as they need constant power to run.

**The bottom line:** Oil is falling, and the logical response is to sell the companies that move that oil. But gas demand is not dropping, and pipeline companies are still seeing business boom, despite the Wall Street selloff.

Below, we break down what's happening and the two stocks our analysts are adding to our Income Portfolio.

30%

~13.5 Bcf/d

 Briefs Pro

*Data via the EIA*

## ONEOK (OKE)

ONEOK is the highest-yield way to get in on this shift.

**What's happening?** ONEOK is a natural gas company that owns pipelines that move gas, plus facilities that gather raw gas straight from the ground and clean it up so it can be used.

**How it fits the shift:** This is a gas business, not an oil business - but the market trades it like an oil stock anyway. That's the mismatch of the opportunity.

Among the companies in this report, it pays the biggest dividend - a yield around 4.8%, backed by those locked-in pipeline fees.

When oil dropped in June, ONEOK dipped right along with it - the shares still sit a touch below their May high, even though the fees it collects didn't change.

Keep in mind: ONEOK isn't a pure toll booth. The gathering-and-cleaning side of its business deals in the price of gas, so it feels oil and gas swings more than other pipeline names - the exact swing that pulled it lower in June.

It also carries a lot of debt, the bill from buying up a lot of other companies. None of that breaks the opportunity, but it's something investors will want to keep an eye on.

**Exit Trigger:** Keep an eye on ONEOK's debt. If it keeps climbing, or if falling gas prices start eating into its cash, that could be a reason for investors to consider stepping back.



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## KINDER MORGAN (KMI)

There's also a steadier way to ride this shift: Kinder Morgan, one of the largest gas pipeline operators in the country.

It gets paid set fees to move gas across the U.S. - it gets paid to move gas, so it doesn't really matter what the price of gas is.

AI data centers are also expanding across the country, and more data centers = more business.

The company is building pipelines to feed power plants and LNG export plants as well, another area where demand is booming.

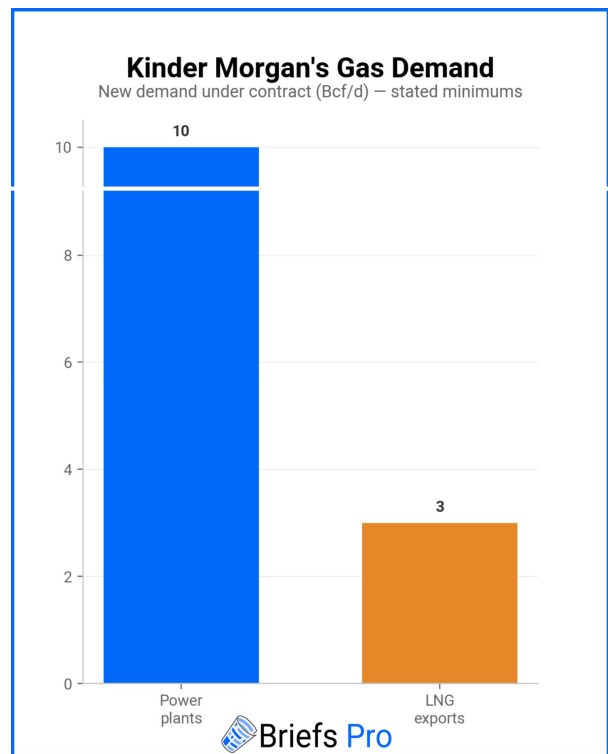
And as data center power demand has grown (and is projected to grow), Kinder Morgan has seen its business grow.

It now has more than 10 Bcf/d of new gas demand lined up from power plants, plus over 3 Bcf/d feeding LNG exports, and its stack of future projects.

- Those future projects are projected to bring in \$10.1 billion, which now include work tied directly to data centers.

Its profit per share jumped 38% in the first quarter, and it pays an annual yield near 3.6%.

In short - it could benefit from increased data center growth and as power plants expand and need more gas to fuel them.



*Data via Kinder Morgan's Investor Presentation*

It has grown a bit slower over the years than some rivals, and its big projects are impacted by higher rates, which the Fed has hinted may be coming.

Its future growth partially depends on these big power and data center projects, so it could be more sensitive to rate hikes than other pipeline names.

**Exit Trigger:** Watch that \$10.1 billion stack of projects. If it shrinks, or data center deals stall, the main spark behind this name fades. If rates rise or data center demand falls, returns for investors could also slip.



## Risks We're Watching

Interest rates are the main risk - high rates can hold these stocks down even when the businesses are perfectly healthy.

For the most part, these are income stocks, bought for their steady payout, or yield (the yearly cash a stock pays out as a percentage of its price).

When safe choices like government bonds pay more, income stocks look less special and can slip.

- The Fed just held its rate at 3.50% to 3.75% on June 17 - its fourth hold in a row - so "higher for longer" is the thing that could weaken these opportunities in the future.

Also, the whole energy group could fall out of favor longer than expected.

**In English:** If oil keeps sliding, these names could get dragged down with it - fairly or not.

And these companies aren't fully shielded from gas prices, with ONEOK feeling those swings most.

Big projects can hit delays, permits can stall, and demand forecasts can miss - steady doesn't mean risk-free.

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## The Takeaway

Oil has fallen from its highs, and for a good reason - the Iran deal reopened a key shipping route, so cheaper crude makes sense.

But the true shift is not falling gas prices: It's gas demand, which is moving through pipes right now and not slowing down.

- Those pipes carry the fuel behind three of the biggest demand stories going: data centers, electric power, and LNG exports.

The opportunities in this report offer a rare mix right now - a growing 3.5-5% yield, smaller swings than the broad market, and decades of built-in demand, from a market that still prices them off oil headlines.

For income investors looking for steady companies that are growing alongside gas demand, not its price, OKE and KMI may be opportunities worth keeping an eye on.



### - Briefs Finance Team

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**Our mission?** It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.